

BENCHMARKING FOR EXCELLENCE

It is essential for a company to know its own standards and compare them with others in today's complex and competitive corporate environment. This measurement of performance against a recognised business excellence or quality framework is done through benchmarking



Performance benchmarking is to compare your company's performance with that of other organisations to determine how good or bad your organisation is

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Organisations benefit by learning from each other. They can modify their systems by adopting the best practices used by others. This is essentially the purpose of benchmarking—a comparative method by which a company finds the best practices available in a domain and then attempts to adopt those practices and better its performance. It is a reference point to measure and, when applied to work processes, yields superior results. In order to excel, a firm will have to

exceed the benchmarks.

What is benchmarking

According to the American Productivity and Quality Center (APQC), "Benchmarking is the process of identifying, understanding and adapting outstanding practices and processes from organisations anywhere in the world by a firm to improve its performance." In other words, best practices are the benchmarks that should be adopted by a firm as the standards to exercise operational control. The performance of an organisation can be evaluated continually

till it reaches the best practice level by using benchmarking. This offers firms a tangible method to evaluate performance.

What's to be benchmarked

Benchmarks are set with respect to critical areas of strategic and operational significance that influence an organisation's performance. According to Pareto's 80/20 rule, these could be problem areas in an organisation that are clearly defined or activities/processes where improvements yield maximum benefits. For example, Xerox Corporation routinely buys copiers made by other firms to see how they work. This helps the company to keep itself abreast with its competitors' improvements and changes.

Benchmarking may be carried out with respect to activities and processes such as strategic planning, decision processes, accounting systems, internal communication systems, manufacturing processes, reward systems, strategic HRM, employee training, distribution logistics, customer service, etc.

Benchmarking against whom?

It is natural that prime competitors are the reference points for benchmarking. But to what extent competitors are willing to share information about their best practices is also a factor to be considered.

Benchmarking can be within the organisation—best practices in a division can be benchmarked and followed